

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: May 20, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Abinante vs. Stradling Yocca Carlson & Rauth	TENTATIVE RULING: <u>Demurrer to FAC</u> Defendant Stradling Yocca Carlson & Rauth, APC, demurs to the First Amended Complaint (FAC) of Plaintiffs Matthew Abinante, D.O., and Rume Health, LLC. For the following reasons, the demurrer is SUSTAINED with leave to amend. <u>First Cause of Action (Professional Negligence) and Third Cause of Action (Breach of Fiduciary Duty)</u> The court overruled Defendant's previous demurrer to the first and third causes of action. The FAC repleads the same causes of action: that Defendant Stradling failed to properly advise Plaintiffs on the purchase of a medical laboratory in January 2021, failed to disclose conflicts of interest, failed to provide proper guidance, failed to properly draft an agreement, and placed Plaintiff Abinante's intellectual property rights at risk (FAC ¶ 12); and that Defendant Stradling breached its fiduciary duty to Plaintiffs by failing to properly advise Plaintiffs on

the purchase of a medical laboratory, failing to disclose conflicts of interest, failed to provide proper guidance, failing to properly draft an agreement, and placing Plaintiff Abinante's intellectual property rights at risk. (FAC ¶ 22.)

The FAC, however, includes a material amendment: that attorney-client relationship between Plaintiffs and Defendant is "evidenced by the written Attorney-Client Fee Agreement attached" to the FAC as Exhibit A. (FAC ¶ 7)

Defendant argues these claims now fail because the attached Attorney-Client Fee Agreement does not, in fact, evidence any attorney-client relationship between Plaintiffs and Defendant, and the facts appearing in that exhibit must be accepted as true and are given precedence over contradicting allegations in the FAC. (*See Orcilla v. Big Sur, Inc.* (2016) 244 Cal.App.4th 982, 994 [citing *Dodd v. Citizens Bank of Costa Mesa* (1990) 222 Cal.App.3d 1624, 1627].)

"The elements of a legal malpractice action are: (1) a duty to use such skill, prudence, and diligence as are commonly exercised by other members of the legal profession; (2) breach of that duty; (3) a proximate causal connection between the breach and the resulting injury; and (4) actual loss or damage resulting from the attorney's negligence." (*Sangha v. LaBarbera* (2006) 146 Cal.App.4th 79, 84-85.)

Under California law, "a duty may arise *absent* privity of contract, and not based upon an attorney-client relationship," where the plaintiff is an intended beneficiary of the legal services. (*See Goldberg v. Frye* (1990) 217 Cal.App.3d 1258, 1267.) "The determination of duty rests upon the assessment of six considerations: '(1) the extent to which the transaction was intended to affect the plaintiff; (2) the foreseeability of harm to the plaintiff; (3) the degree of certainty that the plaintiff suffered injury; (4) the closeness of the connection between the defendant's conduct and the injury; (5) the policy of preventing future harm; and (6) whether recognition of liability under the circumstances would impose an undue burden on the profession.'" (*Id.* at p. 1268, citing a secondary source.) "An essential predicate for establishing an attorney's duty of care under an 'intended beneficiary' theory is that *both* the attorney . . . and the client . . . must have intended [the third party] to be *the* beneficiary of legal services [the attorney] was to render. [Citation omitted.] Even if the lawyer's representation could *incidentally* benefit the claimant, that does not sufficiently satisfy this predicate. [Citations.] This rule governs the analysis, even if the attorney knows that third parties will be affected by his representation of his client.

Without more, such knowledge is not sufficient to create a duty of care. [Citation.]” (*Zenith Ins. Co. v. O’Connor* (2007) 148 Cal.App.4th 998, 1008.)

It is well established that an attorney owes fiduciary and ethical obligations to her or his client. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1094; *see also Mix v. Tumanjan Development Corp.* (2002) 102 Cal.App.4th 1318, 1323, citing *PLCM*.)

Here, the attached written agreement specifically provides that Defendant Stradling “represent[s] only COVID Clinic, Inc. in this matter . . . [and does] not represent any other entity or person, including any other company, partnership, organization, director, officer, employee, member, shareholder, partner, agent or family member, in this matter. Any representation by [Stradling] of such other entity or person will be established only in a separate written agreement.” (FAC, Ex. A at p. 1.)

To the extent Plaintiffs allege and contend Defendant owed a duty pursuant to written contract, that claim fails as a matter of law. The written contract attached to the FAC (FAC, Ex. A) does not evidence the existence of any attorney-client relationship between Plaintiffs and Defendant Stradling.

While that contract language does not foreclose the existence of a duty, the FAC alleges no facts to support the existence of a duty to Plaintiffs Abinante and/or Rume Health based on an oral contract or a contract implied by conduct. (*See generally* FAC.) Plaintiffs argue the attorney-client agreement was implied by conduct but rely on purported facts outside the four corners of the operative complaint.

Second Cause of Action (Breach of Contract)

The court sustained the demurrer to the second cause of action because it could not be ascertained whether the alleged contract is written, oral, or implied by conduct.

Plaintiffs addressed the issue by amending the complaint to allege the attorney-client relationship is “evidenced by the written Attorney-Client Fee Agreement attached” to the FAC. (FAC ¶ 7.)

The FAC alleges Defendant Stradling breached the parties’ contract to provide competent legal services, by failing to properly advise Plaintiffs on the purchase of a medical laboratory, failing to disclose conflicts of interest, failing to provide proper guidance, failing to

		properly draft an agreement, and placing Plaintiff Abinante's intellectual property rights at risk. (FAC ¶ 18.) The elements of a cause of action for breach of contract are: (i) existence of the contract; (ii) Plaintiff's performance or excuse for nonperformance; (iii) Defendant's breach; and (iv) damage to plaintiff resulting therefrom. (<i>Oasis West Realty, LLC v. Goldman</i> (2011) 51 Cal.4th 811.) As discussed above, neither the attached contract nor the allegations in FAC show the existence of a contractual relationship between Plaintiffs and Defendant Stradling. <u>Fourth Cause of Action (Equitable Indemnity)</u> The FAC alleges Plaintiffs are entitled to equitable indemnification from Defendant to the extent Plaintiffs are subject to fines and penalties following the California Department of Justice's investigation of actions Plaintiffs took following Defendant's legal advice. (FAC ¶ 26.) The elements of a cause of action for indemnity are: (1) a showing of fault on the part of the indemnitor; and (2) resulting damages to the indemnitee for which the indemnitor is contractually or equitably responsible. (<i>Expressions at Rancho Niguel Ass'n v. Ahmanson Developments, Inc.</i> (2001) 86 Cal.App.4th 1135.) Here, as discussed above, the Complaint alleges no wrongdoing by Defendant. Should Plaintiffs desire to file an amended complaint that addresses the issues in this ruling, Plaintiffs shall file and serve the amended complaint within 30 days of service of the notice of ruling. Defendant is ordered to give notice.
2	Apple Dream, LLC vs. Chae	TENTATIVE RULING: <u>Demurrer to Cross-Complaint</u> Cross-Defendant Yebin Kim demurs to the Cross-Complaint of Cross-Complainant/Defendant Bongroung Chae. For the following reasons, the demurrer is OVERRULED in part and SUSTAINED in part with leave to amend.

Standard on Demurrer

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-1405.) Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) A demurrer tests only the sufficiency of the complaint; a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 n.7.)

Although courts should take a liberal view of inartfully drawn complaints (*see* Code Civ. Proc., § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; *see* Code Civ. Proc., § 425.10(a).)

First Cause of Action (Tort of Another Doctrine)

The demurrer to the first cause of action is SUSTAINED with leave to amend.

The first cause of action alleges Cross-Complainant Bongroung Chae has incurred costs, expenses, and attorney's fees and may suffer liabilities herein for the acts or the failure to act by Cross-Defendants. (Cross-Compl. ¶ 16.)

"The ["tort of another"] doctrine allows a plaintiff to recover attorney fees "“ if he is required to employ counsel to prosecute or defend an action against a third party because of the tort of defendant.”” [Citation.]” (*Behniwal v. Mix* (2005) 133 Cal.App.4th 1027, 1043.)

As Mr. Chae concedes, the doctrine “is not an independent cause of action” (Opp. at 6:23-24), and thus, the purported first cause of action fails as a matter of law.

Second Cause of Action (Intentional Misrepresentation)

The demurrer to the second cause of action is SUSTAINED with leave to amend.

The second cause of action alleges Cross-Defendants Ahn and/or Kim intentionally misrepresented that they would repay the loan when they never intended to repay the loan. (Cross-Compl. ¶ 26.)

A cause of action for misrepresentation must allege an affirmation of fact. (*See* Civ. Code, § 1710(1) [defining deceit, in part, to include the assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true].)

Here, the allegation is that of false promise, or promissory fraud. (*See* Cross-Compl. ¶¶ 26, 39.)

The elements of a cause of action for promissory fraud are: (i) the defendant made a false promise; (ii) with intent not to perform; (iii) intent to induce reliance; (iv) justifiable reliance by the plaintiff; and (v) resulting damages. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638; *Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1061.) In addition, fraud actions must be pled with specificity. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on another ground as stated in *California for Disability Rights v. Mervyn's, LLC* (2006) 39 Cal.4th 223, 227.) California's heightened pleading rule serves two purposes: (1) to put the defendant on notice, to "furnish [it] with certain definite charges which can be intelligently met"; and (2) to weed out nonmeritorious actions. (*Id.*)

Here, the Cross-Complaint does not plead with specificity which Cross-Defendant(s) made the false promise, when, or by what means. The Cross-Complaint also does not allege facts showing justifiable reliance by Mr. Chae.

Third Cause of Action (Negligent Misrepresentation)

The demurrer to the third cause of action is SUSTAINED with leave to amend.

The third cause of action alleges Cross-Defendants Ahn and/or Kim negligently misrepresented that they would repay the loan when they never intended to repay the loan. (Cross-Compl. ¶ 39.)

The alleged misrepresentation is not an affirmation of fact but rather a false promise. There is no cause of action for negligent false promise. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 158-59 [holding that the specific intent requirement precludes pleading a false promise claim as a negligent misrepresentation].) Thus, the Cross-Complaint fails to state a valid cause of action for negligent misrepresentation.

Fourth Cause of Action (Money Had and Received)

The demurrer to the fourth cause of action is SUSTAINED with leave to amend.

The fourth cause of action alleges Cross-Defendants became indebted to Mr. Chae when they failed to return money lent by him. (Cross-Compl. ¶¶ 42-43.)

The elements of a cause of action for money had and received are: (i) defendant received money that was intended to be used for the benefit of plaintiff; (ii) the money was not used for the benefit of plaintiff; and (iii) defendant has not given the money to plaintiff. (*See Avidor v. Sutter's Place, Inc.* (2013) 212 Cal.App.4th 1439, 1454; *see also* CACI No. 370.)

The Cross-Complaint does not allege Cross-Defendants received money intended to be used for the benefit of Mr. Chae or that the money was not used for his benefit.

Fifth Cause of Action (Unjust Enrichment)

The demurrer to the fifth cause of action is OVERRULED.

The fifth cause of action alleges Cross-Defendants Ahn and Kim were unjustly enriched at the expense of Mr. Chae. (Cross-Compl. ¶¶ 46-47.)

“[T]here is no cause of action in California for unjust enrichment. ‘The phrase ‘Unjust Enrichment’ does not describe a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so.’” (*Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793, quoting *Lauriedale Associates, Ltd. v. Wilson* (1992) 7 Cal.App.4th 1439, 1448.) In other words, “[u]njust enrichment is ‘a general principle, underlying various legal doctrines and remedies,’ rather than a remedy itself.” (*Melchior v. New Line Productions, Inc.*,

		<i>supra</i>, 106 Cal.App.4th 779, 793, quoting <i>Dinosaur Development, Inc. v. White</i> (1989) 216 Cal.App.3d 1310, 1315.) An unjust enrichment cause of action may survive a demurrer where the claim adequately pleads a quasi-contractual claim. (See <i>Rutherford Holdings, LLC v. Plaza Del Rey</i> (2014) 223 Cal.App.4th 221, 231, quoting <i>McBride v. Boughton</i> (2004) 123 Cal.App.4th 379, 388, and <i>Lance Camper Manufacturing Corp. v. Republic Indemnity Co.</i> (1996) 44 Cal.App.4th 194, 203.) A quasi-contract ““is an obligation . . . created by the law without regard to the intention of the parties[] and is designed to restore the aggrieved party to [its] former position by return of the thing or its equivalent in money. [Citations.]”” (<i>Welborne v. Ryman-Carroll Foundation</i> (2018) 22 Cal.App.5th 719, 725, citing <i>Unilab Corp. v. Angeles-IPA</i> (2016) 244 Cal.App.4th 622, 639.) “‘Quasi-contract’ is simply another way of describing the basis for the equitable remedy of restitution when an unjust enrichment has occurred. Often called quantum meruit, it applies ‘[w]here one obtains a benefit which he may not justly retain. . . . The quasi-contract, or contract “implied in law,” is an obligation created by the law without regard to the intention of the parties, and is designed to restore the aggrieved party to his former position by return of the thing or its equivalent in money.’ [Citation.] . . . “Quasi-contracts, unlike true contracts, . . . are obligations created by law for reasons of justice.” [Citation.]’ [Citation.]” (<i>McBride v. Boughton</i> (2004) 123 Cal.App.4th 379, 388 n. 6.) Here, the Cross-Complaint alleges circumstances showing Cross-Defendants obtained a benefit that they may not justly retain. (See Cross-Compl. ¶¶ 26, 39.) Should Cross-Complainant desire to file an amended complaint that addresses the issues in this ruling, he shall file and serve the amended cross-complaint within 30 days of service of the notice of ruling. Cross-Defendant Kim to give notice.
3	David Vassilian, as Successor Trustee of the Charles Akoboff Family Trust dated September 9, 1997, as Amended	TENTATIVE RULING: For the reasons set forth below, Defendant Anna Poladian’s Demurrer is SUSTAINED with 30 days leave to amend. The Request for Judicial Notice is GRANTED, with the caveat that the Court does not take judicial notice of the hearsay statements included within the filings.

January 16, 1998, vs. Poladian	<u>Standing</u> In order to have standing to sue and the right to obtain relief in court, a plaintiff must be the “real party in interest” with respect to the claims sued upon. Code of Civil Procedure, section 367, states that, “[e]very action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute.” (See also <i>Cloud v. Northrop Grumman Corp.</i> (1998) 67 Cal.App.4th 995, 1004 (California Code of Civil Procedure, section 367, requires, subject to exceptions not pertinent here, that every action be prosecuted in the name of the real party in interest)). Generally, the real party in interest is the person who has the right to sue under the substantive law. It is the person who owns or holds title to the claim or property involved, as opposed to others who may be interested or benefited by the litigation. (<i>Gantman v. United Pac. Ins. Co.</i> (1991) 232 Cal.App.3d 1560, 1566). The real party in interest requirement goes to the existence of a cause of action; i.e., whether plaintiff has a right to relief. (<i>Pillsbury v. Karmgard</i> (1994) 22 Cal.App.4th 743, 757-758 (As noted, if “any person other than a real party in interest brings an action, it is subject to general demurrer [Citations]”); <i>American Alternative Energy Partners II, 1985 v. Windridge, Inc.</i> (1996) 42 Cal.App.4th 551, 559). When a party lacks standing to sue, the action must be dismissed, unless the complaint can be amended by substituting a party who has standing. (<i>Cloud v. Northrop Grumman Corp.</i>, supra, 67 Cal.App.4th at 1004-1011). Plaintiff asserts all five of the causes of action on the basis that he is a shareholder of CA Foods, Inc. (See, Complaint generally.) Defendant contends Plaintiff does not have standing to bring these causes of action because the Settlement Agreement states he is not a shareholder and the Settlement Agreement must be given precedence given the conflicting allegations stated in the Complaint. “While the ‘allegations [of a complaint] must be accepted as true for pleading purposes of demurrer,’ the ‘facts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary to the allegations in the pleading, will be given precedence. <i>Brakke v. Economic Concepts, Inc.</i> (2013) 213 Cal.App.4th 761, 767-768. Defendant is correct. Within the Settlement Agreement, attached to the Complaint as Ex. 5, Plaintiff confirmed the terms of Lucik’s Trust and agreed to forever waive and release any right to contest or challenge it. The Settlement further admits that the asset schedule to
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Lucik's Trust, Schedule A, reports all shares of stock in CA Foods, Inc. **as an asset of Lucik's Trust.** (Settlement Agreement, Recitals, section L (5); Consideration and Obligations of the Parties, Section 1 and 3.)

The Settlement Agreement provides, in relevant part:

RECITALS

L. On April 22, 2015, Lucik executed Lucik's Trust. Schedule A of Lucik's Trust states the following described assets of Lucik are being transferred to the foregoing trust, subject to all the terms and provisions thereof:

...

5. In [sic] and all interest in the stock issued by CA Foods, Inc..

CONSIDERATION AND OBLIGATIONS OF THE PARTIES

1. **Incorporation of the Recitals.** The foregoing recitals and definitions are included within this part of the Agreement and are hereby incorporated by this reference.

...

3. **Confirmation of Estate Plan.** The Parties hereby confirm the terms of the Family Trust as comprised within the original trust instrument dated September 9, 1997, and the First Amendment dated January 16, 1998. The Parties hereby confirm the terms of Lucik's Trust as comprised within the original trust instalment dated April 22, 2015, The Parties hereby forever waive and release any and all rights and claims to seek to invalidate or to assert any objection, contest, or challenge to the Family Trust or to Lucik's Trust.

4. **Sale of Business & Real Estate, Within 30 days of complete execution of this Agreement.** Anna and David shall cooperate in signing all documentation necessary to list CA Foods Inc., the Mountain View Property, and First Street Properties for sale... Consent of both Anna and David are required to accept an offer or issue a counter offer, and to execute the purchase and sale documents, which consent shall not be unreasonably withheld. The net sales proceeds realized from same ... shall be distributed as follows: 1) 35% to David as Trustee of the Family Trust — Administrative Trust (an amount which shall not be less than two million four hundred thousand dollars (\$2,400,000.00); and 2) 65% to Anna as Trustee of Lucik's Trust (or the remainder after payment of the \$2,400,000.00). Other than such sums, each Party

waives and releases all further claims to CA Foods Inc., the Mountain View Property, and the First Street Properties.

...

21. No Admission of Liability & Waiver of Future Claims.

The Parties further understand and agree that no action on the part of any Party to this Agreement shall constitute or be construed as an admission of any liability whatsoever by such Party, and that each Party to the Agreement has consistently taken the position that he or she has no liability whatsoever in this matter. Rather, it is understood that this Agreement is a compromise of disputed claims and each Party hereby assumes the risk of any damages, injuries, expenses or losses which may now be latent or unexpected or which may hereafter appear, develop or occur, as related to the matters contemplated herein.

22. Releases. Excepting only those claims, obligations, representations and warranties expressly arising under or expressly preserved by this Agreement, the Parties, each for his/herself and his/her heirs and assigns, release and forever discharge each other and their respective agents, attorneys, companies, corporations, representatives, employees, insurers, predecessors, successors, successor trustees, heirs, beneficiaries and assigns ("Releasees") from any and all claims, demands, costs, liabilities, obligations, actions and causes of action of every nature, kind or description, whether legal or equitable, known or unknown, liquidated or unliquidated, contingent or non-contingent, suspected or unsuspected, related to or arising from the subject matter of this Agreement up to the date of execution of this Agreement. The Parties hereby covenant and agree not to institute or prosecute any action or proceeding based on any of the claims that are released or intended to be released by this Agreement, or which are otherwise referred to herein.

23. Waiver of Civil Code Section 1542. It is the Parties' intent to resolve any and all of their differences and disputes and potential differences and disputes, whether known or unknown, arising out of the Actions, the administration of the Family Trust, and all matters discussed herein once and for all.

23.1. Except as it relates to a violation of the Representation and Warranties contained in Section 22, no Party to this Agreement may invoke the benefits of section 1542 of Settlement Agreement & Mutual Release p, 10 of 13 the Civil Code, or any similar provision, in order to prosecute or assert in any manner any claims that are released under this Agreement. Except as provided for herein, this Agreement is intended to resolve all of the Parties' differences and disputes and potential differences and disputes regarding the Actions, the administration of the Family Trust, and matters discussed in this Agreement, whether known or unknown,

once and for all; and therefore, the provisions of California Civil Code Section 1542 are hereby expressly waived, which statute provides that:

"A GENERAL RELEASE DOES NOT EXTEND TO CLAIMS THAT THE CREDITOR OR RELEASING PARTY DOES NOT KNOW OR SUSPECT TO EXIST IN HIS OR HER FAVOR AT THE TIME OF EXECUTING THE RELEASE AND THAT, IF KNOWN BY HIM OR HER, WOULD HAVE MATERIALLY AFFECTED HIS OR HER SETTLEMENT WITH THE DEBTOR OR RELEASED PARTY."

The Settlement Agreement also provides that this agreement supersedes the Interim Agreement, and this is the final agreement between the parties. (Complaint, Ex. 5; Consideration and Obligations of the Parties; ¶¶ 15, 26-27.) Plaintiff signed this agreement and is contractually bound by its terms.

Accordingly, Plaintiff has already agreed that The Family Trust is not a shareholder of CA Foods and therefore it does not have standing to make an inspection demand under Cal. Corp C. § 1601, or to sue claiming a breach of an alleged duty, when no such duty exists.

Nowhere does the Settlement provide The Family Trust with an ownership interest in CA Foods. The Settlement agreement confirms that pursuant to The Family Trust, if Charlie predeceased Lucik (which he did), his 50% portion of the estate would be divided to include: “2) Charlies Foods shall be divided equally between Louie Abokoff [sic] and David Vassilian...; 5) All remaining assets and the Plaza Jewelry Mart shall go to [Lucik].” (Complaint, Ex. 5; Recitals; Section J(d).)

Charlies Foods, Inc. pursuant to The Family Trust, was to be distributed should Charlie predecease Lucik, this was confirmed in the Settlement Agreement. CA Foods, Inc. was not specifically identified in The Family Trust. The Complaint admits that Charlies Foods, Inc. and CA Foods, Inc. are two separate legal entities. Nowhere does the Settlement provide The Family Trust with a right to income or any further benefit in CA Foods.

The Family Trust is entitled to cash in the total sum of \$2.4m or 35%, whichever is greater, in full and final release of all claims to CA Foods. It released any and all further claims to CA Foods, and all such further estate assets were expressly confirmed as passing to Lucik’s Trust.

Based upon the foregoing, Plaintiff does not have standing, as a shareholder, to pursue any of the asserted five causes of action. Accordingly, the Demurrer on this ground is well taken and is sustained.

Res Judicata

Res judicata precludes relitigation of matters that were, or could have been, resolved in an earlier judicial proceeding. (*Pitzen v. Superior Court* (2004) 120 Cal.App.4th 1374, 1381.) “ ‘It preserve[s] the integrity of the judicial system, promote[s] judicial economy, and protect[s] litigants from harassment by vexatious litigation.’ ” (Id.; see also *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 896–897 [doctrine prevents “piecemeal litigation”].) California law focuses “on the ‘primary right’ at stake: if two actions involve the same injury to the plaintiff and the same wrong by the defendant then the same primary right is at stake even if in the second suit the plaintiff pleads different theories of recovery, seeks different forms of relief and/or adds new facts supporting recovery.” (*Eichman v. Fotomat Corp.* (1983) 147 Cal.App.3d 1170, 1174.)

Claim preclusion “bar[s] relitigation of [a] claim altogether” where a second suit involves: “(1) the same cause of action (2) between the same parties [or those in privity with them] (3) after a final judgment on the merits in the first suit.” (*DKN Holdings* (2015) 61 Cal.4th 813, 824.)

“ ‘In California the phrase “cause of action” is often used indiscriminately ... to mean counts which state [according to different legal theories] the same cause of action’ [Citation.] But for purposes of applying the doctrine of res judicata, the phrase ‘cause of action’ has a more precise meaning: The cause of action is the right to obtain redress for a harm suffered, regardless of the specific remedy sought or the legal theory (common law or statutory) advanced.” (*Boeken*, 48 Cal.4th at 798.)

“A clear and predictable res judicata doctrine promotes judicial economy. Under this doctrine, all claims based on the same cause of action must be decided in a single suit; if not brought initially, they may not be raised at a later date.” (*Mycogen*, 28 Cal.4th at 897; *Federal Home Loan Bank of San Francisco v. Countrywide Financial Corp.* (2013) 214 Cal.App.4th 1520, 1527 [“Res judicata bars a cause of action that was or could have been litigated in a prior proceeding”], italics added; *Mycogen*, 28 Cal.4th at 897 [“ ‘ “Res judicata precludes piecemeal litigation by splitting a single cause of action or relitigation of the same cause of

		action on a different legal theory or for different relief.” ‘ ’.] “ ‘If the matter was within the scope of the action, related to the subject matter and relevant to the issues, so that it could have been raised, the judgment is conclusive on it despite the fact that it was not in fact expressly pleaded or otherwise urged. ... The reason for this is manifest. A party cannot by negligence or design withhold issues and litigate them in consecutive actions.’ ” (<i>Tensor Group v. City of Glendale</i> (1993) 14 Cal.App.4th 154, 160.) The elements of res judicata are satisfied here as this Complaint hinges on whether Plaintiff is a shareholder. That claim was resolved and any attempt to re-raise this issue would require re-litigation of The Family Trust and the Lucik Trust. Accordingly, this action is barred by res judicata and the demurrer is sustained. <u>Leave to Amend</u> On demurrer, a court determines whether the complaint states facts sufficient to constitute a cause of action. If the court sustains the demurrer, it must decide whether to grant leave to amend. Leave to amend should be granted if there is a reasonable possibility that the defect can be cured by amendment. Plaintiff has the burden of proving that there is a reasonable possibility that the defect can be cured by amendment. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) The court has difficulty seeing how Plaintiff can amend to correct the deficiencies identified in this ruling. Nevertheless, given California’s liberal rules concerning the amendment of pleadings, and given that this is the first demurrer, Plaintiff is granted leave to amend. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiffs shall file and serve the amended complaint within 30 days of service of the notice of ruling. Moving Party to give notice.
4	Diaz vs. Toyota Motor Sales, U.S.A., Inc.	TENTATIVE RULING: For the reasons set forth below, Defendant Toyota Motor Sales, U.S.A., Inc.’s demurrer to the sixth cause of action (fraudulent inducement-concealment) of the complaint by Plaintiff Ramon Diaz, Jr. is SUSTAINED with 30 days leave to amend. Defendant Toyota Motor Sales, U.S.A., Inc.’s motion to strike portions of the complaint by Plaintiff Ramon Diaz, Jr. is GRANTED with 30 days leave to amend.

		Defendant challenges the sufficiency of the sixth cause of action for fraudulent inducement on the grounds that Plaintiff failed to allege fraud with the requisite specificity. Defendant contends that Plaintiff did not sufficiently allege specific facts, communications, exclusive knowledge, an actionable omission or concealment by Defendant. Further, Defendant argues that Plaintiff has failed to plead facts establishing a direct transaction or a duty to disclose. Finally, Defendant challenges the sufficiency of Plaintiff's punitive damages allegations. Plaintiff, however, did not file an opposition to the demurrer or motion to strike and failed to address any of the arguments that Defendant makes. The failure to oppose a demurrer may be construed as having abandoned the claims. (See <i>Herzberg v. County of Plumas</i> (2005) 133 Cal.App.4th 1, 20 ("Plaintiffs did not oppose the County's demurrer to this portion of their seventh cause of action and have submitted no argument on the issue in their briefs on appeal. Accordingly, we deem plaintiffs to have abandoned the issue").) In addition, it is axiomatic that the failure to challenge a contention in a brief results in the concession of that argument. (<i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal. App. 4th 562, 566 ("By failing to argue the contrary, plaintiffs concede this issue"); <i>Westside Center Associates v. Safeway Stores 23, Inc.</i> (1996) 42 Cal. App. 4th 507, 529 ("failure to address the threshold question . . . effectively concedes that issue and renders its remaining arguments moot"); <i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal. App. 4th 1409, 1424 (issue is impliedly conceded by failing to address it).) Accordingly, the court finds Plaintiff's failure to substantively oppose any of the arguments raised in the demurrer and motion to strike an abandonment of the issues and a concession that Defendant's demurrer/motion has merit. Moving Defendant to give notice.
5	Hoang vs. Toyota Motor Sales, U.S.A., Inc.	OFF CALENDAR
6	Nguyen vs. TD Bank	OFF CALENDAR

7	Patterson vs. Nayebaziz	TENTATIVE RULING: <u>Demurrer and Motion to Strike</u> Defendants Cameray Pointe Homeowners Association, and Powerstone Property Management, Inc. demurs to and moves to strike portions of the Complaint filed by Plaintiffs Briant Patterson and Randi Carlson. For the following reasons, the demurer is OVERRULED and the motion to strike is DENIED. 1. <u>Compliance with Code of Civil Procedure Section 430.41</u> A party demurring or moving to strike a pleading is required to meet and confer “in person or by telephone” with the party that filed the pleading under Section 430.41. (Code Civ. Proc. § 430.41.) Here, MP’s counsel satisfied this requirement. (Biles Dec.) 2. <u>General Principles</u> A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. (<i>Lambert v. Carneghi</i> (2008) 158 Cal.App.4th 1120, 1126.) The challenge is limited to the “four corners” of the pleading (which includes exhibits attached and incorporated therein) or from matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452. Although California courts take a liberal view of inartfully drawn complaints, it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (<i>Leek v. Cooper</i> (2011) 194 Cal.App.4th 399, 413.) On demurrer, a complaint must be liberally construed. (Code Civ. Proc., § 452; <i>Stevens v. Superior Court</i> (1999) 75 Cal.App.4th 594, 601.) All material facts properly pleaded, and reasonable inferences, must be accepted as true. (<i>Aubry v. Tri-City Hospital Dist.</i> (1992) 2 Cal.4th 962, 966-67.) A pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. The degree of detail required depends on the extent to which the defendant in fairness needs such detail, which can be conveniently provided by the plaintiff. Less particularity is required when the defendant ought to have co-extensive or superior knowledge of the facts. Under normal circumstances, there is no need for specificity in pleading evidentiary facts. However, bare
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conclusions of law are insufficient. (Code Civ. Proc., §§ 425.10(a), 459; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-50; *Zelig v. County of Los Angeles* (2002) 27 Cal.4th 1112, 1126; *Doheny Park Terrace HOA v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1098-99; *Berger v. California Insurance Guarantee Assn* (2005) 128 Cal.App.4th 989, 1006.)

3. Uncertainty

Defendants' notice of demurrer contends that the Cross-Complaint is uncertain under Code Civ. Proc. § 430.10(f), but Defendant does not support this contention with any argument in the memorandum of points and authorities.

A demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading, but is directed at the uncertainty existing in the allegations actually made. (*People v. Lim* (1941) 18 Cal. 2d 872, 883.) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal. App. 4th 612, 616.) Errors and confusion created by "the inept pleader" are to be forgiven if the pleading contains sufficient facts entitling plaintiff to relief. (*Saunders v. Cariss* (1990) 224 Cal. App. 3d 905, 908.) A party attacking a pleading on "uncertainty" grounds must specify how and why the pleading is uncertain, and where that uncertainty can be found in the challenged pleading. (*Fenton v. Groveland Community Services Dept.* (1982) 135 Cal.App.3d 797, 809 (disapproved on other grounds in *Katzberg v. Regents of the University of California* (2002) 29 Cal.4th 300).)

A demurrer for uncertainty will only be sustained where the complaint is so poorly pled that a defendant cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal. App. 4th 612, 616.)

The court finds that the Complaint adequately pleads factual allegations against Defendants and is not so poorly pleaded that Defendants cannot discern which issues must be admitted or denied. Thus, the demurrer for uncertainty is overruled.

4. Failure to State Sufficient Facts

As to moving Defendants, the Complaint asserts causes of action for 4) negligence and 7) unfair business practices.

a. Negligence

The elements to a cause of action for negligence are: (1) the existence of a duty, (2) breach, (3) causation, and (4) damages. (*Pellegrini v. Weiss* (2008) 165 Cal.App.4th 515, 524.)

Defendants contend that Plaintiffs have not alleged facts demonstrating that Defendants had any control over or a duty to maintain the individual unit at the Property. However, the Complaint alleges that Defendants “owned, controlled, and/or managed the PREMISES.” (Complaint, ¶ 50.) Defendants’ dispute with this allegation is an issue of fact that cannot be resolved at the demurrer stage.

Further, the Complaint alleges that Defendants acted as agents of each of the other Defendants. Generally, “[a]n allegation of agency is an allegation of ultimate fact that must be accepted as true for the purposes of ruling on a demurrer.” (*City of Indus. v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212.) Thus, the court overrules the demurrer as to this cause of action.

b. Business & Professions Code § 17200

The Unfair Competition Law codified in Business and Professions Code § 17200, prohibits any “unlawful, unfair or fraudulent business act or practice.” A homeowners association is not a “business” for purposes of the UCL where the association does not participate as a business in the commercial market and the dispute is not related to any commercial activity. (*That v. Alders Maintenance Assn.* (2012) 206 Cal.App.4th 1419, 1426.) In *Alders*, the court rejected the idea that a homeowners association could be considered a business under the UCL, where plaintiff was attempting to challenge election-related activities conducted by the HOA. (Id. at 1427[“applying the UCL to an election dispute would simply make no sense”].)

Here, however, the Complaint alleges that Defendants “are engaged in the business of renting residential premises to the public.” Defendants dispute the veracity of this statement, but the Court must accept as true the allegations properly pleaded in the Complaint

Thus, the court overrules the demurrer to this cause of action.

5. General Principles on a Motion to Strike

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Code Civ. Proc. § 436. "Irrelevant" matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. Code Civ. Proc. § 431.10(b). A motion to strike can also strike legal conclusions. *Weil & Brown*, Cal. Prac. Guide, *Civil Proc. before Trial*, ¶ 7:179 (2010). Conclusory allegations are permitted, however, if they are supported by other factual allegations in the complaint. *Perkins v. Superior Court* (1981) 117 Cal. App. 3d 1, 6.

Motions to strike are disfavored. Pleadings are to be construed liberally with a view to substantial justice. Cal. Code Civ. Proc. § 452; *Weil & Brown*, Cal. Prac. Guide, *Civil Proc. before Trial*, ¶ 7:197 (2010). The allegations of the complaint are presumed true; they are read as a whole and in context. *Clauson v. Superior Court* (1998) 67 Cal. App. 4th 1253, 1255.

A notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count, or defense. Specifications in a notice must be numbered consecutively

(CRC Rule 3.1322(a).) Here, the notice of motion specifies the portions of the Complaint it seeks to strike. Defendants seek to strike the following:

1. Paragraph 13, Page 4:26-27: "The LEASE has a mandatory mediation clause and a prevailing party attorney's fees provision."
2. Paragraph 8, Page 17:21-22: "For attorney's fees pursuant to the LEASE, applicable causes of action, and California Code of Civil Procedure section 2021.5."

6. Merits of Motion to Strike

Attorney's fees are recoverable by a party only if specifically provided for by a statute or law, or if authorized by an express agreement between the parties. (Code Civ. Proc., §§ 1021, 2033.5, subd. (a)(10)(A)-(C); Civ. Code, § 1717; see also *Nasser v. Superior*

		<i>Court</i> (1984) 156 Cal.App.3d 52, 56 (“Absent an agreement or statute, a party is generally precluded from recovery of attorney fees.”); <i>Reynolds Metals Co. v. Alperson</i> (1979) 25 Cal.3d 124, 127.) A plaintiff is not required to specifically plead its request for attorneys’ fees under Section 1021.5, and a court may not strike such a request based on a failure to plead its basis. (<i>Snatchko v. Westfield LLC</i> (2010) 187 Cal.App.4th 469, 497 (“As there was no requirement they be pled at all, the trial court erred in striking [the plaintiff’s] prayer for attorney’s fees [under Section 1021.5] based on a failure to adequately plead their basis”). Defendants seek to strike Paragraph 13, Page 4:26-27: “The LEASE has a mandatory mediation clause and a prevailing party attorney's fees provision.” Defendants have not carried their burden of showing that this sentence is irrelevant, false, or improper. (Code Civ. Proc. § 436.) The fact that Defendants may not be signatories to the lease does not make this sentence false. Defendants also seek to strike Paragraph 8, Page 17:21-22: “For attorney’s fees pursuant to the LEASE, applicable causes of action, and California Code of Civil Procedure section 2021.5.” Defendants have not shown that this request is irrelevant, false, or improper. (Code Civ. Proc. § 436.) The motion to strike is denied. Plaintiffs shall give notice of this ruling.
8	Kimes vs. Rich	TENTATIVE RULING: <u>Motion to Bifurcate Trial</u> For the reasons set forth below, Defendants Rayco Construction Enterprises, Inc. dba Rayco Exteriors; T.S.G. Independent Property Management, Inc.; Beacon Hill Terrace Condominium Homeowners Association; Rich Carroll; and Design Build Associates, LLC’s motion to bifurcate trial such that the issue of liability is tried before the issue of damages is GRANTED. “The court may, when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby, on motion of a party, after notice and hearing, make an order ... that the trial of any issue or any part thereof shall precede the trial of any other issue or any part thereof in the case” (Code Civ. Proc, § 598.) “The court, in furtherance of

		convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues” (<i>Id.</i>, § 1048, subd. (b).) “It is within the discretion of the court to bifurcate issues or order separate trials of actions ... and to determine the order in which those issues are to be decided.” (<i>Royal Surplus Lines Ins. Co. v. Ranger Ins. Co.</i> (2002) 100 Cal.App.4th 193, 205.) Defendants contend bifurcation is warranted because separating of liability and damages will promote judicial economy. Whether a dangerous condition existed, whether there was notice of the dangerous condition, and comparative fault are discrete issues to be determined in connection with liability. If there is no liability, then damages will not have to be addressed. The jury will not be bogged down with damages issues when determining if there is liability. Defendants assert that the evidence concerning damages is extensive. (Whirl Decl. ¶¶ 6-7, Exhs. A-B.) Additionally, Defendants contend the sympathy generated by Plaintiff’s injuries may distract and prejudice the jury. Defendants argue that bifurcating liability will ensure Defendants are not prejudicially impacted by testimony that has no bearing on whether there is any liability. Determining liability prior to starting the damages phase may save a substantial amount of time and expense if the jury finds that there was no dangerous condition or that Defendants did not have notice of the dangerous condition. Plaintiff did not file an opposition. The motion is granted. Defendants to give notice.
9	Martinez vs. AN SCPB, LLC	TENTATIVE RULING: For the reasons set forth below, the motion by Defendant An SCPB, LLC for sanctions in the form of an adverse inference jury instruction against Plaintiff Haley Martinez is DENIED without prejudice. <u>Statement of Law</u> The court may impose sanctions on any party engaging in the misuse of the discovery process. (<i>See</i> Code Civ. Proc., § 2023.030.) Disobeying a court order to provide discovery is a misuse of the

discovery process. (Code Civ. Proc., § 2023.010, subd. (g).) Once a party is ordered by the court to provide responses to discovery, continued failure to respond may result in the imposition of more severe sanctions. (See Code Civ. Proc., § 2031.300(c) (as it relates to requests for production)).

If a party fails to obey a court order regarding discovery, the court may impose whatever sanctions are just, including any of the following:

- Money sanctions—an award of reasonable costs and fees incurred as a result of the failure to obey (including fees on the sanctions motion) (Code Civ. Proc., § 2023.030, subd. (a))
- Issue sanctions—ordering that designated facts be “taken as established” against the party guilty of discovery misuse (Code Civ. Proc., § 2023.030, subd. (b));
- Evidentiary sanctions—prohibiting the party guilty of discovery misuse from introducing designated matters in evidence (Code Civ. Proc., § 2023.030, subd. (c));
- Terminating (“doomsday”) sanctions—striking pleadings, in whole or in part; or dismissing that party’s action, in whole or in part; or staying further proceedings by that party until the order is obeyed; or rendering default judgment against that party (Code Civ. Proc., § 2023.030, subd. (d)); and
- Contempt sanctions (Code Civ. Proc., § 2023.030, subd. (e)).

(See also Code Civ. Proc., § 2031.310, subd. (i).)

The burden of proof is on the moving party to show (by declarations) the facts essential to an award of sanctions. The moving party need only show the failure to obey the court’s earlier discovery orders, though disobedience is not required if, under the circumstances, such an order would have been futile. (*Do It Urself Moving & Storage, Inc. v. Brown, Leifer, Slatkin & Berns* (1992) 7 Cal.App.4th 27, 34-36 [upholding trial court order precluding accounting evidence in support of complaint where, plaintiffs “in essence . . . admitted” at status conference that they would not be able to provide an accounting].) Thereafter, the burden of proof shifts to the party seeking to avoid sanctions to establish a satisfactory excuse for his or her conduct. (*Corns v. Miller* (1986) 181 Cal.App.3d 195, 201; *Puritan Ins. Co. v. Superior Court* (1985) 171 Cal.App.3d 877, 884).

Separate Statement

Plaintiff opposes the motion on procedural grounds because Defendant failed to file a separate statement. Rule of Court 3.1345(a)(7) requires that a separate statement is required for a discovery motion that seeks “issue or evidentiary sanctions.”

Defendant argues that a separate statement is not required here because Defendant is not seeking further responses, but is seeking a jury instruction.

The court agrees with Plaintiff that this motion for evidentiary sanctions requires a separate statement. Defendant has the burden, as the moving party, to establish that prior discovery questions were propounded that relate to the evidentiary sanction sought. Knowing the specific discovery requests or discovery responses at issue, Plaintiff’s purported insufficient production of documents to that discovery is insufficient, would aid the court in determining whether or not the evidentiary sanction that Defendant seeks relates to the discovery request at issue and/or is appropriate to address the alleged discovery misuse.

The motion is, therefore, procedurally defective.

The court, however, will nonetheless consider the merits of the motion given that the moving papers, taken as a whole, provide sufficient notice and context to the basis of Defendant’s request.

Spoliation of Evidence

Here, Defendant seeks an evidentiary sanction with a jury instruction that Plaintiff willfully suppressed evidence and that the jury must presume the evidence was adverse to her case. Alternatively, Defendant seeks an evidentiary sanction with similar, but lesser stringent, jury instructions—e.g., *if* the jury finds Plaintiff has willfully suppressed evidence the jury **must** presume the evidence was adverse to her case; or *if* the jury finds Plaintiff has willfully suppressed evidence the jury **may** presume the evidence was adverse to her case.

Defendant argues that such evidentiary sanctions are appropriate because Plaintiff spoliated evidence.

Spoliation of evidence “is defined as the destruction or alteration of relevant evidence or the failure to preserve evidence for another party’s use in pending or future litigation.” (*Victor Valley Union High School District v. Superior Court* (2023) 91 Cal.App.5th 1121, 1139

[citing other cases].) “[T]he party moving for discovery sanctions based on the spoliation of evidence must make an initial prima facie showing that the responding party in fact destroyed evidence that had a substantial probability of damaging the moving party’s ability to establish an essential element of his claim or defense.” (*Williams v. Russ* (2008) 167 Cal.App.4th 1215, 1227 [citing *National Council Against Health Fraud, Inc. v. King Bio Pharmaceuticals, Inc.* (2003) 107 Cal.App.4th 1336, 1346-1347 and cases cited therein].) An adverse jury instruction, like the one Defendant seeks, “may be given only if there is evidence of willful suppression, which one appellate court has described as “evidence that a party destroyed evidence with the intention of preventing its use in litigation.” (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1129).

Here, the court finds that Defendant has not met its burden of establishing that Plaintiff willfully destroyed or suppressed evidence with the intention of preventing its use in litigation and that the alleged destroyed evidence had a substantial probability of damaging the moving party’s ability to establish an essential element of his claim or defense.

Defendant argues that during Plaintiff’s deposition in June 2024, Plaintiff produced partial text messages between her and several employees in 2022. However, Defendant did not have the full context of those text messages and Plaintiff testified that she lost her old phone that that her iCloud ran out of storage at some point and stopped backing up content, which is why she does not have the full text messages with key witnesses. In June 2024, therefore, at her deposition, Plaintiff testified that her iCloud had been out of storage for a long time.

The court then allowed for a forensic inspection of the Plaintiff’s iCloud. The forensic inspection failed to find the 2022 text messages that were partially produced at Plaintiff’s deposition. However, the forensic inspection found that there were messages from October 26, 2024, on the iCloud. Defendant argues that given that “newer” messages were stored on the iCloud, this undermines Plaintiff’s testimony in June 2024 that the iCloud had run out of storage for a long time. Plaintiff would have had to delete storage on the iCloud for new documents to be backed up on October 26, 2024.

The court finds that this is insufficient to establish that Plaintiff did, in fact, willfully destroy evidence after Defendant sought such evidence. As the reply declaration of Joseph Greenfield establishes, the forensic examination performed “would not detect any record or indication of deletion or destruction of data within the iCloud backup or on the

source device from which the iCloud backup was made. The forensic examination I conducted would not detect deletion or destruction of data if such destruction or deletion occurred.” (Reply Declaration of Joseph Greenfield, ¶ 10). As such, there is no evidence in the record of when any of these messages were stored, when they were deleted, and/or when the iCloud was last backed up. There could be reasonable explanations for why messages in October 2024 are still available in the iCloud and that older messages were not that may not be related to this litigation. Greenfield also testifies: “When I have reviewed logs from Apple that were requested through the portal privacy.apple.com, I have not seen any entries related to deletion of iCloud backups. It is possible that Apple has these records for entries related to deletion of iCloud backups, but would require a subpoena to obtain. I will note that for my role in this matter, the collection was solely of the Plaintiff’s iCloud backup.” (Id., ¶ 11(c)).

The evidence is that the forensic inspector does not know if any iCloud backups were deleted or not and/or how they were deleted. There may be inconsistencies with Plaintiff’s deposition testimony, but the inconsistency is not so egregious and categorical to establish that the missing text messages were willfully destroyed.

Further, Defendant has not established that the alleged destroyed evidence had a substantial probability of damaging the moving party’s ability to establish an essential element of his claim or defense. Defendant could subpoena and depose the witnesses for the specific partial text messages at issue and/or if those messages are not available, ask about the context of the partial text messages. Further, Defendant could subpoena Apple for these specific messages, etc. It is unclear what exactly Defendant believes in those text messages that are essential to Defendant’s defense.

Defendant asks the court to rely on *Bihun v. AT&T Information Systems, Inc.* (1993) 13 Cal.App.4th 976, 992 for the proposition that circumstantial evidence may be sufficient for an adverse jury instruction.

In *Bihun*, at a jury trial, the trial court gave the following instruction: “**If** you find that defendant AT&T Information Systems, Inc. willfully suppressed the personnel file of Peter Fellows, you **may** draw an inference that there was something damaging to defendant’s case contained in that personnel file. Such an inference may be regarded by you as reflecting defendant’s recognition of the strength of plaintiff’s case generally and/or the weakness of its own case. The weight to be given such circumstance is a matter for your determination.” (*Id.* at 992).

		The court of appeal found that the trial court did not err in giving such a jury instruction because: “the following facts provided sufficient circumstantial evidence of willful suppression <i>for the issue to go to the jury</i>: (1) Although they resigned within a few months of each other, Fellows's personnel file could not be located but Ms. Bihun's file was found; (2) the disappearance of Fellows's file was covered up by defendant; (3) defendant's rules require maintenance of resigned employees' personnel files if a matter is in litigation; (4) it was reasonably probable Fellow's performance evaluations and any complaints of sexual harassment would be in his personnel file. Considering the evidence in the light most favorable to respondent (<i>County of Contra Costa v. Nulty, supra</i>, 237 Cal.App.2d at p. 594), we find no error in giving the jury an instruction on willful suppression of evidence.” (<i>Id.</i> at 994). In <i>Bihun</i>, therefore, the trial court gave the most lenient jury instruction, but only after sufficient foundational circumstantial evidence was admitted for the issue to go to the jury. Unlike <i>Bihun</i>, however, this case is not yet before a jury and sufficient foundational evidence has not been admitted. Rather, Defendant seeks a determinative finding of willful suppression and a determinative adverse instruction for the court, not the jury, to decide. The court finds that, at this stage of the proceedings, with the evidence before the court, the evidentiary sanctions that Defendant seeks is inappropriate For these reasons, the motion is denied without prejudice to Defendant seeking a jury instruction at trial, but only if, and only after sufficient foundational evidence of spoliation has been admitted that warrants the issue going to the jury. Plaintiff to give notice.
10	Mid-Century Insurance Company vs. Kannan	TENTATIVE RULING: <u>Motion to Set Aside Default</u> Defendants Gutha Kannan and Saini Kannan (the “Kannans”) move to set aside the default entered against them. For the following reasons, the motion is GRANTED. Code Civ. Proc. § 473(b) provides in pertinent part, “The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or

excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . . . Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect. The court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties.”

Code Civ. Proc. § 473(b) permits a court to grant relief from a judgment, dismissal, order or other proceeding taken against a party on the grounds of “mistake, inadvertence, surprise or excusable neglect.” Code Civ. Proc. § 473(b) permits a court to grant two types of relief. (*Leader v. Health Industries of Am., Inc.*, 89 Cal. App. 4th 603, 615 (2001).) A court **may** grant discretionary relief upon the moving party’s showing of mistake, inadvertence, surprise or excusable neglect. (*Id.* at 615-616.) A court **must** grant mandatory relief upon a showing by an attorney declaration of mistake, inadvertence, surprise or neglect. (*Id.* at 616.)

A motion seeking relief under Section 473(b) must be brought within 6 months of entry of the judgment. (Civ. Proc. Code § 473(b); *Jimenez v. Chavez* (2023) 97 Cal.App.5th 50, 54 [“We conclude that the six-month limitations period of the mandatory and discretionary relief provisions of section 473(b) is either 182 days or six calendar months, whichever period is longer.”].)

On November 26, 2025, the Court entered Defendants’ default. Defendants filed this motion on January 9, 2026. Thus, the motion is timely.

		<u>Merits</u> The Kannans seek discretionary relief based on their claimed mistake, inadvertence, and excusable neglect. The Kannans were served with the summons and Complaint in August 2025 and tried to find a lawyer over the ensuing months. (Declaration of Gutha Kannan (“Gutha Dec.”), ¶¶ 5-10; Declaration of Saina Kannan (“Saina Dec.”) ¶¶ 5-10.) The Kannans retained their counsel in November 2025, the same month in which their default was entered. (Gutha Dec. at ¶¶ 10-11; Saina Dec. at ¶¶ 10-11.) Plaintiffs’ counsel evidently indicated he would stipulate to setting aside the default but on the condition that the Kannans not file a Cross-Complaint. The Kannans have made a sufficient showing of inadvertence to warrant setting aside the default. While they should have responded to the Complaint earlier, they experienced difficulty in retaining an attorney. Plaintiffs Mid-Century Insurance Company and Truck Insurance Exchange contend that the proposed Cross-Complaint lacks merit and they seek an order prohibiting the Kannans from filing the same. The Court declines to do so. If Plaintiffs want to challenge a pleading, the Code of Civil Procedure provides several means to do so. The Kannans shall file their responsive pleading(s) within 10 days of this ruling. The Kannans shall give notice of this ruling.
11	Romero vs. Krieger	TENTATIVE RULING: <u>Motion for Leave to Amend</u> Plaintiff Juan Pablo Romero moves for leave to file a First Amended Complaint. For the following reasons, the unopposed motion is GRANTED. <u>Statement of Law</u> The Court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon

like terms, enlarge the time for answer or demurrer. (Code Civ. Proc. § 473(a)(1).) The Court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. (Code Civ. Proc. § 473(a)(1).) Additionally, any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order. (Code Civ. Proc. § 576.)

In relevant part, California Rules of Court, rule 3.1324 provides that:

- (a) Contents of a motion to amend a pleading before trial must:
 - (1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments;
 - (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and
 - (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located.
- (b) Supporting declaration

A separate declaration must accompany the motion and must specify:

- (1) The effect of the amendment;
- (2) Why the amendment is necessary and proper;
- (3) When the facts giving rise to the amended allegations were discovered; and
- (4) The reasons why the request for amendment was not made earlier.

California courts generally allow great liberality, at all stages of the proceeding, in permitting the amendment of pleadings in order to resolve cases on their merits. (*IMO Development Corp. v. Dow Corning* (1982) 135 Cal.App.3d 451, 461.) Thus, leave to amend to more clearly state a plaintiff's theories of liability should be liberally allowed. (*Rainer v. Buena Community Memorial Hospital* (1971) 18 Cal.App.3d 240, 253-254.) This liberality only applies so long as there is no prejudice to the opposing party. (*Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564.) Denial of leave to amend is appropriate where inexcusable delay and probable prejudice to the

opposing party is shown. This may happen where a proposed amendments opens up an entirely new field of inquiry without any satisfactory explanation as to why the major change in point of attack had not been made long before trial. (*Estate of Murphy v. Gulf Ins. Co.* (1978) 82 Cal.App.3d 304, 311.)

“[I]t is a rare case in which a court will be justified in refusing a party leave to amend his pleadings so that he may properly present his case. If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion.” (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530 [internal citations and quotation marks omitted].)

Finally, the court generally does not consider the validity of the proposed amended pleadings in deciding whether to grant leave to amend. (The Rutter Group, Cal. Prac. Guide Civ. Pro. Before Trial Ch. 6-E at 6:644.) After leave to amend is granted, the opposing party will have the opportunity to attack the validity of the amended pleading. (See *Kittredge Sports Co. v. Sup.Ct. (Marker, U.S.A.)* (1989) 213 CA3d 1045, 1048.)

Here, Plaintiff complied with CRC 3.1324.

Merits

Plaintiff seeks leave to amend the Complaint to add the Estate of Maria Teresa Romero as a Defendant and to add charging allegations against the Estate. The Estate allegedly has an interest in the property that is the subject of this lawsuit. (Ikeda Dec., ¶¶ 2-5.)

If delay in seeking the amendment has not misled or prejudiced the other side, the liberal policy of allowing amendments prevails. Indeed, it is an abuse of discretion to deny leave in such a case, even if sought as late as the time of trial. (*Higgins v. Del Faro* (1981) 123 CA3d 558, 564-565)

Defendant did not oppose the motion. As Plaintiff has complied with CRC 3.1324 and has met the requirements for seeking leave to amend, the motion is granted.

Plaintiff is ordered to file and serve the First Amended Complaint within 7 days of this ruling.

		Plaintiff shall give notice of this ruling.
12	Lydicks vs. Tran	CONTINUED TO 9/16/26
13	Orozco vs. Amador Hernandez	TENTATIVE RULING: For the reasons set forth below, Defendants David Sheng-Lin Yuan, Grace Yuan and Orange County Property Management, Inc.’s motion for summary judgment is DENIED. Moving Defendants’ motion for summary adjudication is GRANTED as to the second cause of action for strict liability, only, and DENIED as to the remaining causes of action for negligence and punitive damages. Plaintiff Lisa Kathleen Orozco’s objections are OVERRULED. <u>Statement of Law</u> “Summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (Code Civ. Proc., § 437c, subd. (c).) A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (<i>Id.</i> at 851.) A defendant moving for summary judgment satisfies the initial burden by submitting undisputed evidence “showing that a cause of action has no merit [because] one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc. § 437c, subd. (p)(2); <i>Aguilar v. Atlantic Richfield Co.</i>, <i>supra</i>, 25 Cal.4th at pp. 850-51.) However, “[t]he defendant must indeed present evidence.” (<i>Aguilar</i>, <i>supra</i>, 25 Cal.4th at 855, italics original.) In addition, if a plaintiff has pleaded several theories, the defendant has the burden of demonstrating there are no material facts requiring trial on any of them. (<i>Carlsen v. Koivumaki</i> (2014) 227 Cal.App.4th 879, 889.) If a defendant fails to meet this initial burden, the plaintiff need not oppose the motion and the motion must be denied. (<i>Binder v. Aetna Life Ins. Co.</i> (1999) 75 Cal.App.4th 832, 840.)

	If the moving party meets its burden, the burden then shifts to the party opposing summary judgment to show, by reference to specific facts, the existence of a triable, material issue as to a cause of action or an affirmative defense. (<i>Aguilar, supra</i>, 25 Cal.4th at p. 855; <i>Villacres v. ABM Industries, Inc.</i> (2010) 189 Cal.App.4th 562, 575.) The nonmoving party must present substantial evidence in order to avoid summary judgment. (<i>Sangster v. Paetkau</i> (1998) 68 Cal.App.4th 151, 163.) “In some instances . . . , ‘evidence may be so lacking in probative value that it fails to raise any triable issue.’” (<i>Whitmire v. Ingersoll-Rand Co.</i> (2010) 184 Cal.App.4th 1078, 1083-1084, <i>quoting Advanced Micro Devices, Inc. v. Great American Surplus Lines Ins. Co.</i> (1988) 199 Cal.App.3d 791, 795.) “‘If the plaintiff is unable to meet her burden of proof regarding an essential element of her case, all other facts are rendered immaterial.’” (<i>Saelzler v. Advanced Group 400</i> (2001) 25 Cal.4th 763, 780, <i>quoting Leslie G. v. Perry & Associates</i> (1996) 43 Cal.App.4th 472, 482.) In ruling on a motion for summary judgment, “the court must ‘consider all of the evidence’ and ‘all’ of the ‘inferences’ reasonably drawn therefrom, and must view such evidence and such inferences in the light most favorable to the opposing party.” (<i>Aguilar, supra</i>, 25 Cal.4th at p. 843, citations omitted.) Courts “‘construe the moving party's affidavits strictly, construe the opponent's affidavits liberally, and resolve doubts about the propriety of granting the motion in favor of the party opposing it.’” (<i>Unilab Corp. v. Angeles-IPA</i> (2016) 244 Cal.App.4th 622, 636, <i>quoting Seo v. All-Makes Overhead Doors</i> (2002) 97 Cal.App.4th 1193, 1201–1202.) A court may not make credibility determinations or weigh the evidence on a motion for summary judgment, and all evidentiary conflicts are to be resolved against the moving party. (<i>McCabe v. American Honda Motor Corp.</i> (2002) 100 Cal.App.4th 1111, 1119.) “The court . . . does not resolve issues of fact. The court seeks to find contradictions in the evidence, or inferences reasonably deducible from the evidence, which raise a triable issue of material fact.” (<i>Johnson v. United Cerebral Palsy, etc.</i> (2009) 173 Cal.App.4th 740, 754, citation omitted.) “[S]ummary judgment cannot be granted when the facts are susceptible [of] more than one reasonable inference” (<i>Rosas v. BASF Corp.</i> (2015) 236 Cal.App.4th 1378, 1392.) In this motion, Moving Defendants contend that the three causes of action for negligence, strict liability pursuant to Civ. Code § 3342, and punitive damages fail because Moving Defendants had no actual knowledge of Defendant Alexis Christina Amador Hernandez’s dog, let alone the dog’s dangerous propensity. With regards to the second claim for strict liability, Defendants contend that this claim fails
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because only dog owners are subject to strict liability under Civ. Code § 3342.

Failure to Comply with Cal. R. Ct., rule 3.1350, subd. (b)

As a preliminary matter, Moving Defendants' notice of motion did not specify the separate issues for adjudication. Cal. R. Ct., rule 3.1350, subd. (b) provides: "If made in the alternative, a motion for summary adjudication may make reference to and depend on the same evidence submitted in support of the summary judgment motion. If summary adjudication is sought, whether separately or as an alternative to the motion for summary judgment, *the specific cause of action*, affirmative defense, claims for damages, or issues of duty *must be stated specifically in the notice of motion* and be repeated, verbatim, in the separate statement of undisputed material facts." (Emphasis added). While Moving Defendants complied with the requirement in their separate statement, they did not set forth the issues separately in their notice of motion.

However, Plaintiff did not object. Therefore, the court will consider both the motion for summary judgment and the alternative motion for summary adjudication.

Negligence

In an action for negligence, Plaintiff must demonstrate that the defendant owed a duty to the plaintiff, that the defendant breached that duty, and that the breach proximately caused the plaintiff's injuries. (*John B. v. Superior Ct.* (2006) 38 Cal.4th 1177, 1188.) The existence of duty is a question of law for the court. (*Isaacs v. Huntington Mem. Hosp.* (1985) 38 Cal.3d 112, 124.)

"Under California law, a landlord who does not have actual knowledge of a tenant's dog's vicious nature cannot be held liable when the dog attacks a third person. In other words, where a third person is bitten or attacked by a tenant's dog, the landlord's duty of reasonable care to the injured third person depends on whether the dog's vicious behavior was reasonably foreseeable. Without knowledge of a dog's propensities a landlord will not be able to foresee the animal poses a danger and thus will not have a duty to take measures to prevent the attack." (*Donchin v. Guerrero* (1995) 34 Cal.App.4th 1832, 1838).

As the court explained in *Martinez v. Bank of America National Trust & Savings Association* (2000) 82 Cal.App.4th 883, 891: "First, we ask whether the landlord had actual knowledge that the dog was

	vicious. This element can be shown either by circumstantial evidence that the landlord must have known the dog was dangerous or by direct evidence that the landlord actually knew the dog was dangerous.... Second, we ask whether the landlord had the ability to prevent the foreseeable harm. That ability derives from the landlord's control over his property and his ability to prevent dangerous conditions on that property.” With regards to circumstantial evidence, “[o]nly where the circumstances are such that the defendant ‘must have known’ and not ‘should have known’ will an inference of actual knowledge be permitted.” (<i>Yuzon v. Collins</i> (2004) 116 Cal.App.4th 149, 163). Moving Defendants contend that they had no actual knowledge of the dog “Shiloh” that belonged to Co-Defendant Amador Hernandez, or its dangerous propensity. Moving Defendants present the following in their Separate Statement of Undisputed Material Fact (SSUMF): Plaintiff Lisa Orozco seeks monetary recovery from an alleged dog bite incident that took place on October 1, 2023, at 2714 West Keller #1, Santa Ana, California (subject property). (SSUMF 1, 9). Amador Hernandez was the owner of the subject dog, Shiloh. (SSUMF 12). On October 1, 2023, Defendants David Sheng-Lin Yuan and Grace Yuan owned the subject property. (SSUMF 10). On October 1, 2023, OCPM managed the subject property. (SSUMF 11). Upon taking over management in 2014, OCPM required the pre-existing tenants at the subject property to complete an updated rental application to obtain current tenant information. (SSUMF 1, 2). OCPM entered into a renewed Lease Agreement dated October 29, 2014, with tenants Armando Moreno Perez and Betsabe Moreno (“the Lease Agreement”), which also identified Christopher Moreno, Eva Danielle Moreno, and Alexis Christina as additional residents. (SSUMF 3). Paragraph 9 of the Lease Agreement prohibits tenants from keeping any animal on the premises without prior written consent of the owner. (SSUMF 5). At the time the updated rental application was completed, the Tenants reported having no pets. (SSUMF 6). The Tenants did not obtain prior written consent to keep the subject dog at the subject property. (SSUMF 7). Defendants David Sheng-Lin Yuan, Grace Yuan, and Orange County Property Management, Inc. did not find out that the subject dog was living at the subject property, without their permission and in direct violation of the lease agreement, until after the subject incident occurred. (SSUMF 8). Defendants had no prior, actual knowledge that the subject dog was dangerous or had any vicious propensities. (SSUMF
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13). Defendants had no knowledge of any previous occurrences involving the subject dog injuring another person. (SSUMF 19). Defendants had no knowledge of the alleged prior incident involving the subject dog because no one had ever told them about it. (SSUMF 20).

Moving Defendants have established that Co-Defendant Amador Hernandez did not disclose in the application that she had any pets, and never informed Moving Defendants about the dog. Moving Defendants established that they had no knowledge of the dog, let alone the dog's dangerous propensities, until after the dog bite incident on October 1, 2023.

Moving Defendants have met their burden of demonstrating no actual knowledge of the dog or the dog's dangerous propensities. Therefore, the burden shifts to Plaintiff to create a triable issue of material fact.

In Plaintiff's Opposition, Plaintiff contends that her evidence establishes that Moving Defendants did, in fact, have actual knowledge of the dog Shiloh in Co-Defendant Amador Hernandez's unit, as well as the dog's dangerous propensities.

Plaintiff presents the following in her Additional Material Facts (AMF), and the declaration of Ms. Randhawa and exhibits attached therewith: OCPM did not conduct any interior inspection of Unit 1 of the subject property from September 2019 through October 1, 2023 — a span of over four years preceding the attack on Plaintiff. (AMF 25).

Betsabe Ortiz Moreno is the named lessee on the operative OCPM Lease Agreement for Unit 1 of the subject property and has resided at 2714 W. Keller Avenue, Unit 1, since at least 2011. (AMF 29). Ms. Moreno testified at her April 17, 2026, deposition that she had spoken with OCPM's Vice President and Person Most Qualified, Lance Reichert, by telephone "several times over the phone" over the years in connection with the subject property, and met him in person at a property inspection in 2025. (AMF 30). Ms. Moreno testified that throughout the years OCPM has managed the property, OCPM employees attending the unit's annual inspections were personally aware that the tenants kept other pets at the unit- specifically a Chihuahua and a cat — in violation of Paragraph 9 of the Lease Agreement. One OCPM employee "even played with the little Chihuahua" during an inspection. OCPM took no enforcement action. (AMF 31).

Pet water bowls were openly kept in the kitchen of Unit 1 during OCPM inspections. (AMF 32). When Ms. Moreno asked Reichert after the October 1, 2023, attack on Plaintiff why she alone had to remove her pets when “every single neighbor has a dog and cats. All of them,” Reichert “stayed quiet ... didn’t say anything.” (AMF 33).

Plaintiff also presents evidence that Mr. Yuan himself conducted permitter inspections of 2714 Keller prior to the incident. (AMF 45, 46).

The subject dog Shiloh has been at 2714 W. Keller since at least December 2019, as documented by Santa Ana Police Department records reflecting a December 18, 2019, welfare check at the subject property for a Pitbull observed on the patio without food, water, or shelter, and as confirmed by the lessee’s sworn deposition testimony that “in 2019 at some point, Shiloh was on the property.” (AMF 34).

On April 20, 2023 — approximately five months before the attack on Plaintiff — the Santa Ana Police Department received an anonymous report describing a Pitbull at 2714 W. Keller as having been “abandoned on side of road” and “heard barking and will jump up and lunge at the windows.” (AMF 35).

In May 2023 — approximately five months before the attack on Plaintiff — witness Nicole King Duran called the property management telephone number posted at 2714 W. Keller, which is OCPM’s telephone number, and left a voicemail complaining about the dog. (AMF 38).

On July 22, 2023 — approximately ten weeks before the attack on Plaintiff — the subject dog Shiloh broke through a window of Unit 1, chased down a neighbor (Crystal Sifuentes), and bit her. The attack was witnessed by Nicole King Duran, who provided a sworn statement to the Santa Ana Police Department documenting the incident. Ms. Moreno, another lessee at the unit, also provided sworn deposition testimony that Shiloh “broke a window” at the unit. (AMF 36). Ms. Duran’s sworn statement provided, in part: “I am concerned for my safety and the believe this animal could accidentally kill a child if it got out. The incident that I observed was in July and it involved my neighbor. She was attacked by the dog next door when it broke through its window and proceeded to chase and bite her. I came at the tail end of it. And could see the dog rushing her then being taken back in along with all the glass and my neighbor visibly shaken. The dog has been known to hang out the front window in its effort to escape and attack. It’s scary.” (Decl. of Randhawa, Ex. 6).

On July 23–24, 2023, witness Nicole King Duran also contacted Santa Ana City Councilmember Phil Bacerra regarding the dog at 2714 W. Keller. (AMF 38).

On August 23, 2023 — approximately five weeks before the attack on Plaintiff — Animal Control responded to a documented BITE REPORT at 2714 W. Keller. The responding officer left a notice tag at the property requesting a callback from the dog owners and requiring the dog to be licensed by September 6, 2023. (AMF 37).

On October 5, 2023, OCPM served a Three-Day Notice to Perform Conditions and/or Covenants or Quit on the tenants, which provides: “Our office was notified that you are housing a dog in your unit; animals are not permitted on your lease. It was also reported that your dog attacked another residents recently.” (AMF 41).

It is clear that Plaintiff created a triable issue as to whether Defendants knew that there was a dog on the premises. Plaintiff provided evidence that the lessees at the subject property openly kept water bowls in the kitchen during the routine/annual inspections by OCPM, and that an employee played with the chihuahua. Plaintiff provided evidence that a neighbor and witness, Ms. Duran, called and left a voicemail to OCPM in May of 2023 (months before the October 2023 attack) complaining about Shiloh. Plaintiff provided evidence that management was aware of other pets on the unit and did nothing to have the pets removed.

But whether Defendants knew of Shiloh’s “dangerous propensity”, specifically, presents a much closer issue. While Plaintiff relies on the voicemail that Ms. Duran left to OCPM in May of 2023, Ms. Duran testified that this voicemail was only in regards to Shiloh’s barking. (Decl. of Randhawa, Ex. 2).

Next, Plaintiff relies on the language of the Three-Day Notice to Perform Conditions and/or Covenants or Quit, which provides, in part: “Our office was notified that you are housing a dog in your unit; animals are not permitted on your lease. It was also reported that your dog attacked *another* residents recently.” (Emphasis added). Plaintiff asks this court to find that use of the term “another” in this context could refer to *another* attack. But a fair and reasonable interpretation of this notice would be that the phrase “attacked another resident” is referring to the subject incident, where the dog bit another resident (i.e., not the tenant, but *another resident*).

Plaintiff also provided evidence establishing that Shiloh would jump and lunge at windows, and that Shiloh broke through the window on

one occasion and bit another neighbor, Crystal, in July of 2023. This dog bite was reported to the Santa Ana Police Department and Animal Control. Animal Control left a notice tag at the property. Ms. Moreno also confirmed that the dog broke through the screen. Plaintiff also established that Mr. Yuan lived within 30 minutes of the property and conducted inspections of 2714 W. Keller perimeter, sprinklers, and water meter on multiple occasions before the incident.

Plaintiff relies on the court's analysis in *Donchin, supra*, where the court found that the circumstantial evidence was sufficient to create a triable issue as to whether the landlord had actual knowledge. First, the court in *Donchin* found that the landlord's "false exculpatory statements" denying the dog's existence in the first instance may be used to infer guilty consciousness as to his knowledge of the dog's viciousness: "In our view, the key evidence bearing on the credibility of Swift's denial of knowledge about the Rottweilers' dangerous nature is his earlier 'false exculpatory statement' denying he even knew the dogs existed and denying he had given permission for them to be housed on his property." (*Donchin, supra*, 34 Cal.App.4th at 1841).

However, in *Donchin*, Swift later admitted that his statement was false in his interrogatories. (*Id.* at 1842). Here, there is no admission from either OCPM or the Yuans that they did in fact know of the dog's existence and that any earlier statement to the contrary was false. However, the facts certainly create a triable issue in this regard.

The court in *Donchin* also found that "there was ample evidence before the trial court at the summary judgment stage to create a triable issue as to whether Swift was aware of the Rottweilers' vicious propensities." (*Id.* at 1846). This evidence included the following: the Landlord knew of the dog's existence; According to one neighbor, the dogs frequently ran loose around the neighborhood, lunging towards both people and other dogs; a United Parcel Service (UPS) employee, declared he avoided entering the yard to deliver packages because of the Rottweilers threatening behavior toward him; and finally, the plaintiff's expert opined that if the dog was vicious toward the neighbor and UPS employee, it would be vicious to others. (*Id.* at 1836).

Defendants rely on *Yuzon, supra*, where the court distinguished *Donchin* and found in favor of the landlord pursuant to the following facts:

We distinguish *Donchin, supra*, 34 Cal.App.4th 1832, 41 Cal.Rptr.2d 192, in which the tenant's dogs displayed vicious

propensities that would have been apparent to anyone, including the landlord, who regularly visited the property. In *Donchin*, a neighbor attested that “the dogs frequently ran loose around the neighborhood, lunging towards both people and other dogs.” (Id. at p. 1836, 41 Cal.Rptr.2d 192.) In addition, a UPS employee described the behavior of the dogs as so “threatening ... toward him” that he would “toss the packages over the fence into the yard because he feared the two rottweilers.” (Ibid.) The UPS employee stated that “he saw the rottweilers once a week, and every time he entered their area they would ‘growl and show their teeth, ram the wood fence, attempt to jump the fence and appeared extremely ferocious.’ ” (Id. at p. 1843, 41 Cal.Rptr.2d 192.)

In this case, on the other hand, there is no evidence that Kemo ever lunged at people or other dogs before this incident, or that he ever growled, bared his teeth, rammed a fence (or other barrier), or appeared extremely (or even slightly) ferocious. There is also no evidence that Kemo was kept in the front yard, where he could be seen exhibiting threatening behavior toward outsiders such as was observed by the UPS employee in *Donchin*, who was so afraid that he tossed the packages over the fence. On the contrary, in this case the record supports the inference that Kemo was kept inside the house, away from view of those walking by the home.

(*Yuzon*, *supra*, 116 Cal.App.4th at 164-165).

The court finds that the circumstantial evidence provided in this instance is more analogous to *Donchin* than *Yuzon*. OCPM’s person most qualified denies having any knowledge of the dog on the property, and Mr. Reichert declares that “[t]he Lease Agreement prohibits tenants from keeping any animal on the premises without prior written consent.” (Decl. of Reichert, ¶ 5). But Ms. Duran testified that she informed OCPM about Shiloh in May of 2023, and Ms. Moreno testified that OCPM employees knew of other animals, and even played with the chihuahua during inspections. As to the Yuan Defendants, Plaintiff argues that OCPM’s knowledge is imputed to the Yuans as their agent, pursuant to Civ. Code § 2332, which provides: “As against a principal, both principal and agent are deemed to have notice of whatever either has notice of, and ought, in good faith and the exercise of ordinary care and diligence, to communicate to the other.” The Yuan Defendants do not contest that OCPM was acting as their agent.

Plaintiff also presented evidence of the dog's prior incidents and dangerous propensities- specifically, that the dog had broken a window and attacked a neighbor. Plaintiff presented evidence of the broken window with broken glass on the unit, the broken screen on the unit, and the notice that Animal Control had posted to the unit. Finally, Plaintiff presented evidence that OCPM and Mr. Yuan would conduct inspections of the premises. Pursuant to *Donchin*, such circumstantial evidence may create a triable issue as to whether the landlords had actual knowledge.

Regarding the second inquiry of landlord liability (whether the landlord had the ability to prevent the foreseeable harm) Defendants do not make the argument that OCPM and the Yuan defendants lack the ability to prevent further attacks by the dog. In any event, Plaintiff has created a triable issue in this regard. (AMF 49, 50).

Accordingly, the court denies the motion for summary judgment, and the motion for summary adjudication, as to this cause of action.

Strict Liability

Civil Code § 3342(a) states, in part: "The owner of any dog is liable for the damages suffered by any person who is bitten by the dog while in a public place or lawfully in a private place, including the property of the owner of the dog, regardless of the former viciousness of the dog or the owner's knowledge of such viciousness."

Defendants contend that this cause of action fails because the undisputed facts show that Defendants Grace Yuan, David Yuan and OCPM did not own or control the dog. In her Opposition, Plaintiff concedes this argument: "Plaintiff does not oppose summary adjudication of the strict liability cause of action under Civil Code section 3342 against the moving Defendants only, as that statute imposes liability solely on the dog's owner. However, because triable issues remain as to negligence and punitive damages, summary judgment must still be denied." (Opp., 3:21-24).

Because Defendants have met their burden of establishing that they did not own or control the dog, and because Plaintiff failed to create a triable issue of material fact, the court GRANTS the motion for summary adjudication as to this claim.

Punitive Damages

Finally, Moving Defendants move for summary adjudication as to punitive damages.

Civ. Code § 3294, subd. (a), provides: “(a) In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.”

According to Civ. Code § 3294 (c)(1), (2) and (3):

(1) “Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

(3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

Despicable conduct is conduct that is “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by most ordinary decent people.” (*Pac. Gas & Elec. Co. v. Superior Court* (2018) 24 Cal.App.5th 1150, 1159 (internal citations omitted)). “Conscious disregard” means that “the defendant must ‘have actual knowledge of the risk of harm it is creating and, in the face of that knowledge, fail to take steps it knows will reduce or eliminate the risk of harm.’” (*Id.* (internal citations omitted)).

As discussed previously, the court finds that Plaintiff has created a triable issue as to whether Defendants had actual knowledge of the dog’s dangerous propensities, yet failed to take steps that would eliminate the danger. “Conscious disregard” is defined as actual knowledge of the risk of harm and, in the face of that knowledge, failing to reduce or eliminate the risk of harm. Plaintiff’s additional material facts nos. 25-41 create a triable issue as to whether Defendants had actual knowledge of the risk of harm it created by allowing Shiloh to remain on the premises prior to the October 1, 2023, attack. Plaintiff has also created a triable issue as to whether Moving Defendants had the ability to eliminate this harm, but failed to do so until after the October 1, 2023, attack.

Accordingly, the court denies the motion as to this issue.

		Moving Defendants shall give notice.
14	Builderwell HLP LLC vs. Collier	TENTATIVE RULING: <u>Motion to Be Relieved As Counsel of Record</u> Don Fisher and Kevin J. Castellanos move to be relieved as counsel of record for Defendant Michael Collier. The motion is GRANTED. The order relieving counsel will be effective upon the filing of a proof of service of the executed order upon all parties. Moving counsel shall give notice of this ruling.
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